

	A	B
3	Equity weight (w_1)	70.0%
4	Bond weight (w_2 , = $1-w_1$)	30.0%
5	Equity volatility (σ_1)	16.0%
6	Bond volatility (σ_2)	6.0%
7	Correlation (ρ)	10.0%
8		
9	Portfolio variance	0.01327
10	Portfolio standard deviation	11.52%
11	Naive linear-weighted SD	13.00%
12	Diversification benefit	1.48%